

INDIA IS THE FIFTH-LARGEST SPENDER ON MILITARY...

• Firms eye huge indigenous demand

Company	Spending, \$ bn	YoY Change in %	As a share of GDP, %
United States	997	5.7	3.4
China	314	7	1.7
Russia	149	38	7.1
Germany	88.5	28	1.9
India	86.1	1.6	2.3
United Kingdom	81.8	2.8	2.3
Saudi Arabia	80.3	1.5	7.3
Ukraine	64.7	2.9	34
France	64.7	6.1	2.1
Japan	55.3	21	1.4

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PHOTO BY BANDEEP SINGH

eign technology partners,” he says. A Vision 2047 document published by the CII and KPMG recommends increasing R&D investment to 10-15% of the defence budget by 2032 with focus on AI, quantum computing and cyber defence.

Another reason R&D investments must go up is the changing character of warfare with rising use of unmanned vehicles and drones. “Although manufacturing is required, without the ability to design and develop, you will have systems that are not cutting-edge,” says DRDO’s Kamat. Holding intellectual property (IP) within the country is essential to become self-reliant, says SIDM’s Bhatia. “If the IP is within the country, while some portion of

the supply chain may always be import dependent, you can always ensure what you want to do. If a certain item is not available, you can always develop an alternative supply source as long as critical technologies and IP are resting within the country.”

DEPENDENCE ON WORLD

The goals are laudable, but 100% indigenisation of manufacturing is unlikely, even if India acquires the technology and global manufacturers set up local production base. PwC India Managing Director (Aerospace and Defence) Vishal Kanwar says “the country will have to continue importing certain critical technologies, components and rare earth minerals.” India is esti-

mated to have vast reserves of rare earth minerals but very little of that is produced or processed. China, with the largest known deposits of rare earths, is the dominant player.

Similarly, import of certain critical components will continue due to the nature of the supply chains. For example, the weakest link is propulsion system for warships, submarine and jets as India does not make gas turbines or jet engines. Even when co-development or co-production of engines begins, certain components will continue to be imported because global partners may not agree to complete transfer of technology.

For instance, GE Aerospace, which entered into an agreement with Hindustan Aeronautics in June 2023 for